

Japan Consumer

Best of Times, Worst of Times: Sell Me This Pen - Have You Met My AI?



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"It was the best of times, it was the worst of times". The famous opening line of Charles Dickens' 'A Tale of Two Cities' captures a period of contradiction: the French aristocracy indulging in opulence and privilege, the peasantry experiencing poverty and oppression. While 2026 is thankfully not 18th century France, shifting class dynamics remain more topical than ever, from the US K-shaped economy to the squeezed Chinese middle class. In this note, we explain why Japan's value-quality champions are poised to win in a K-shaped world.

"Sell me this pen." Every closer on the Street knows the line. The amateur praises the pen; the professional finds the need and lets the pen fill it. The test was never the pen — it was the buyer. Uncover the need first, and the sale closes itself.

Turn the question around. What if the buyer is an AI, held by a savvy consumer who already knows what she needs? There is no hidden need to uncover, none to manufacture. It ignores the pitch, reads the spec sheet, and matches the need. The closer's toolkit finds nothing to grip. This shift is early but underway, and the direction is one-way: brands are repriced long before it arrives.

And as the K pulls apart, the middle that remains is still the majority. Squeezed but not careless, it has matured — and no longer accepts a trade-off between value and quality. It demands both. This is the spine of our series: the largest consumer pool, trading down in unison across the U.S., Europe, and China, now holds the AI that enforces it.

Within this shift, which brands gain and which lose? In capitalism, once price crosses a certain threshold, the source of value leaves the product and migrates to scarcity — to meaning as a symbol. That is the upper arm of the K, where hype is the price of scarcity, and it endures. But what of everyone else? Holding an AI that mediates spec and price, will they keep paying a premium for hype that has drifted from substance?

Japan's brands were never hype-driven. Three decades of domestic deflation forced its Global Compounders to invest heavily in product, run lean on SG&A, and hold high margins at once. That discipline shows on the spec sheet an AI now reads: Uniqlo puts ~31% of price into product versus GAP's ~15%. Pricing explained by substance, not scarcity — that is their moat.

We are structurally constructive on Japan's Global Compounders. We rate **Fast Retailing (Outperform)**, **Food & Life (Outperform)**, and **ASICS (Outperform)**, with **Ryohin Keikaku / MUJI (Market-Perform)** awaiting Western execution proof.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Jul 2026	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
9983.JP (Fast Retailing)	O	JPY	86,930	90,400	36.3%	JPY	1,409.32	1,624.60	1,811.88	61.7	53.5	48.0
7936.JP (Asics)	O	JPY	4,724.00	6,100.00	(17.0)%	JPY	138.13	174.51	200.17	34.2	27.1	23.6
7453.JP (Ryohin Keikaku)	M	JPY	3,670.00	3,700.00	(40.0)%	JPY	95.92	120.33	132.32	38.3	30.5	27.7
3563.JP (Food & Life)	O	JPY	4,616.00	7,500.00	(19.4)%	JPY	101.35	138.45	166.92	45.5	33.3	27.7
JPL			2,655.16									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Fast Retailing Outperform.

We rate Asics Outperform.

We rate Food & Life Outperform.

We rate Ryohin Keikaku Market-Perform.

VALUATION COMPS TABLE

EXHIBIT 1: Valuation Comps

	Mkt Cap		EV		P/E			P/B			EV/EBITDA			ROE			PEG		EPS Growth		OPM		Div. Yld.	
	(USD mn)	(USD mn)	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	FY25-FY27	FY25-FY27	FY25-FY27	FY25-FY27	LTM	1BF	LTM	1BF		
Fast Retailing	162,718	153,671	52.8x	46.4x	41.4x	9.6x	8.8x	7.7x	28.6x	24.4x	22.2x	19.8%	20.2%	19.8%	2.5x	18.7%	18.3%	0.7%	0.8%					
Ryohin Keikaku	12,243	11,986	31.2x	26.8x	23.6x	4.9x	4.4x	3.9x	15.9x	14.0x	12.8x	17.1%	18.2%	18.1%	1.1x	24.6%	10.5%	0.9%	1.1%					
Japanese Apparel Retailers			31.2x	36.6x	32.5x	7.3x	6.6x	5.8x	22.2x	19.2x	17.5x	18.9%	19.2%	18.9%	1.8x	21.6%	14.4%	0.8%	0.9%					
Asics	20,412	20,514	28.1x	23.9x	21.0x	10.0x	8.2x	6.8x	17.7x	14.5x	13.0x	41.0%	39.7%	36.0%	1.0x	24.2%	18.8%	0.8%	1.0%					
Mizuno	1,625	1,505	13.7x	13.2x	12.2x	1.4x	1.3x	1.3x	9.2x	8.5x	8.0x	11.1%	10.8%	11.0%	2.3x	5.7%	9.0%	1.8%	2.0%					
Yonex	1,356	1,257	16.6x	14.6x	13.3x	2.5x	2.1x	1.9x	10.0x	9.2x	9.3x	16.2%	15.4%	14.9%	1.3x	11.6%	10.2%	1.1%	1.2%					
Japanese Sportswear			19.5x	17.2x	15.5x	4.7x	3.9x	3.3x	12.3x	10.8x	10.1x	22.8%	22.0%	20.6%	1.5x	13.8%	12.7%	1.2%	1.4%					
Food & Life	6,818	7,857	37.1x	29.7x	25.1x	9.4x	7.2x	5.9x	15.1x	12.3x	10.8x	28.8%	27.5%	26.0%	0.8x	36.3%	10.0%	0.4%	0.5%					
Kura	830	1,070	36.8x	36.3x	32.3x	1.9x	2.0x	2.0x	10.8x	10.4x	10.0x	5.4%	5.4%	5.7%	7.3x	4.9%	2.2%	0.6%	0.9%					
Saizeriya	1,753	1,511	21.9x	18.7x	16.5x	2.1x	1.9x	1.8x	7.0x	6.7x	6.3x	10.1%	10.9%	11.3%	0.9x	20.1%	6.6%	0.6%	0.6%					
Zensho	8,244	9,817	29.9x	24.5x	21.3x	3.8x	3.4x	11.6x	10.2x	9.1x	14.9%	14.8%	15.6%	n.a	n.a	6.9%	0.9%	1.0%						
Monogatari	1,135	1,148	23.7x	20.4x	17.9x	4.0x	3.4x	2.9x	10.7x	9.7x	8.7x	18.3%	17.3%	17.3%	0.8x	26.3%	7.6%	0.9%	1.0%					
Skiyaki	3,984	4,565	35.8x	30.6x	28.2x	3.4x	3.1x	2.8x	8.7x	8.2x	7.7x	9.8%	10.5%	10.6%	1.9x	16.5%	7.1%	0.9%	1.0%					
Ohiso	1,174	1,041	20.7x	21.9x	20.8x	2.4x	2.2x	2.1x	12.3x	-	-	10.7%	10.2%	10.2%	n.a	n.a	8.6%	1.9%	1.9%					
Japan Food Services			29.4x	26.0x	23.2x	3.8x	3.4x	3.0x	10.9x	9.6x	8.8x	14.0%	13.8%	13.8%	2.3x	20.8%	7.0%	1.0%	1.0%					
PPiH	16,197	17,741	22.6x	20.1x	18.7x	3.6x	3.1x	2.8x	12.8x	11.8x	11.2x	16.9%	16.5%	15.7%	1.0x	20.2%	7.3%	1.0%	1.2%					
Aeon	23,411	40,867	51.7x	44.1x	35.6x	3.1x	2.9x	2.7x	10.1x	9.1x	8.6x	6.4%	6.9%	8.5%	2.3x	19.0%	2.8%	1.0%	1.1%					
Seven and I	32,357	53,370	16.7x	16.8x	15.9x	1.3x	1.3x	1.2x	9.1x	9.8x	9.5x	7.6%	7.5%	7.8%	5.6x	3.0%	4.2%	2.5%	3.1%					
Trial	2,288	4,368	39.4x	32.9x	20.9x	2.8x	2.4x	2.2x	11.0x	9.8x	8.8x	7.3%	8.8%	12.1%	1.5x	22.1%	2.7%	0.5%	0.6%					
Izumii	1,281	1,958	12.1x	10.8x	10.2x	0.7x	0.7x	0.6x	6.5x	6.4x	6.2x	5.8%	6.0%	6.2%	n.a	n.a	4.8%	3.1%	3.2%					
Kobe Bussan	4,527	3,842	17.3x	18.1x	16.7x	3.4x	3.0x	2.6x	12.8x	11.5x	10.7x	21.7%	17.7%	16.6%	3.5x	5.2%	7.5%	1.1%	1.3%					
Life Corp	1,435	1,469	11.7x	11.5x	11.1x	1.4x	1.3x	1.2x	5.5x	5.3x	5.1x	12.8%	11.6%	11.0%	n.a	n.a	2.9%	2.6%	2.8%					
Cosmos Pharmaceutical	3,163	3,287	16.1x	15.2x	14.3x	1.8x	1.6x	1.5x	8.2x	7.4x	7.0x	12.0%	11.1%	10.9%	2.3x	6.7%	3.7%	1.2%	1.3%					
Matsukiyoocokara	6,029	5,313	17.1x	15.6x	14.6x	1.8x	1.6x	1.5x	7.9x	7.6x	7.2x	10.5%	10.8%	10.8%	1.9x	8.2%	7.7%	2.1%	2.4%					
Sundrug	2,809	2,675	14.1x	12.8x	12.1x	1.6x	1.4x	1.4x	6.6x	6.0x	5.7x	11.3%	11.5%	11.4%	1.6x	8.0%	5.7%	3.5%	3.8%					
Sugi	3,689	3,598	12.6x	16.4x	15.0x	1.9x	1.7x	1.6x	8.4x	7.4x	6.9x	16.6%	11.1%	11.3%	-2.0x	-8.3%	4.9%	1.1%	1.2%					
Kusuri no aoki	2,192	2,756	20.9x	18.0x	16.4x	2.5x	2.3x	2.1x	10.3x	10.1x	9.6x	11.9%	13.1%	13.4%	1.4x	12.9%	4.3%	1.5%	1.7%					
Japanese Grocery Retailers			18.2x	19.4x	16.8x	2.2x	1.9x	1.8x	9.1x	8.5x	8.0x	11.7%	11.1%	11.3%	1.9x	9.7%	4.9%	1.8%	2.0%					
Inditex*	202,054	196,614	28.1x	24.9x	22.9x	9.3x	8.0x	7.5x	15.0x	13.8x	12.8x	34.0%	32.4%	33.4%	2.2x	11.4%	20.5%	3.0%	3.3%					
H&M*	27,615	33,638	21.8x	20.1x	18.7x	7.9x	6.3x	5.9x	8.5x	8.1x	7.8x	34.9%	31.7%	33.3%	2.4x	8.5%	8.7%	4.2%	4.5%					
Europe Apparel Retailers			24.9x	22.5x	20.8x	8.6x	7.1x	6.7x	11.8x	10.9x	10.3x	34.4%	32.1%	33.3%	2.3x	10.0%	14.6%	3.6%	3.9%					
Adidas*	37,666	43,413	23.7x	17.0x	14.2x	5.4x	4.7x	4.1x	11.6x	9.8x	8.8x	23.8%	27.6%	28.9%	0.6x	30.9%	9.7%	1.5%	2.3%					
Puma*	4,525	6,838	-	-	33.5x	2.1x	2.4x	2.3x	-	13.4x	8.9x	-27.4%	-5.9%	-5.5%	-	-	-	1.2%	-	0.2%				
Europe Sportswear			23.7x	17.0x	13.8x	3.7x	3.6x	3.2x	11.6x	11.6x	8.9x	-1.8%	10.9%	17.2%	0.6x	0.3x	5.4%	2.6%	1.2%					
Compass Group*	56,387	65,120	27.9x	20.9x	18.9x	7.1x	5.8x	5.1x	14.5x	11.9x	11.0x	27.1%	29.0%	28.9%	0.8x	26.1%	7.5%	2.1%	2.4%					
Ellor*	594	1,935	8.1x	7.9x	5.6x	0.6x	0.6x	0.5x	5.5x	4.6x	4.3x	7.9%	6.8%	9.3%	2.5x	3.2%	2.9%	2.0%	3.0%					
AmRest	644	2,380	63.8x	13.3x	13.0x	1.6x	1.3x	-	5.3x	4.7x	4.6x	2.4%	12.7%	-	0.2x	68.2%	5.8%	2.7%	-					
Europe Food Services			18.0x	14.0x	12.5x	3.1x	2.6x	2.8x	8.4x	7.0x	6.6x	12.4%	16.1%	19.1%	1.2x	0.3x	5.4%	2.3%	2.7%					
Carrefour*	13,639	24,934	12.0x	9.0x	8.4x	1.0x	1.1x	1.1x	4.9x	4.6x	4.4x	2.9%	10.8%	11.1%	0.1x	102.7%	2.9%	6.0%	6.3%					
Tesco*	39,671	54,239	17.3x	14.8x	13.8x	2.6x	2.6x	2.4x	8.3x	7.9x	7.6x	15.5%	17.3%	17.8%	1.3x	11.7%	4.4%	3.1%	3.4%					
Europe Grocery Retailers			14.6x	11.9x	11.1x	1.8x	1.8x	1.8x	6.6x	6.3x	6.0x	9.2%	14.0%	14.5%	0.7x	0.1x	3.6%	3.8%	4.9%					
Gap	6,930	10,011	7.6x	7.8x	7.1x	1.9x	1.7x	1.5x	5.6x	3.5x	3.3x	27.6%	23.3%	23.3%	0.7x	11.0%	7.7%	3.5%	3.6%					
Abercrombie & Fitch Co.	4,106	4,793	7.8x	8.3x	7.5x	3.1x	2.4x	1.9x	4.1x	4.1x	4.0x	39.0%	33.2%	33.5%	1.2x	7.0%	12.2%	-	-					
American Eagle Outfitters	2,758	4,529	8.0x	9.0x	8.0x	1.7x	1.4x	1.2x	8.1x	4.3x	4.0x	18.0%	17.0%	17.3%	0.3x	35.8%	7.0%	3.0%	3.1%					
Ralph Lauren	23,701	24,645	23.4x	21.4x	19.4x	8.4x	6.8x	5.8x	17.5x	13.4x	12.5x	34.7%	33.9%	31.3%	1.4x	15.3%	16.8%	0.9%	1.0%					
U.S. Apparel Retailers			11.7x	11.6x	10.5x	3.8x	3.1x	2.6x	8.8x	6.3x	5.9x	29.8%	28.9%	26.4%	0.9x	17.3%	10.8%	2.0%	2.6%					
Nike*	85,292	67,298	21.1x	24.1x	19.2x	4.4x	4.4x	4.2x	-	16.2x	13.5x	22.1%	16.9%	20.9%	5.4x	4.5%	7.1%	3.7%	3.8%					
Lululemon*	13,448	14,069	9.6x	10.6x	9.9x	2.9x	2.3x	2.0x	5.5x	5.1x	4.9x	32.0%	23.0%	21.0%	-2.1x	-5.2%	15.8%	-	-					
Under Armour	2,810	4,440	66.0x	45.1x	24.6x	2.0x	1.8x	1.7x	45.0x	13.8x	11.7x	-30.0%	4.0%	7.3%	-	-	3.1%	-	-					
Amner Sports	20,377	20,706	38.1x	25.3x	20.3x	3.0x	2.8x	2.5x	-	12.6x	10.7x	7.6%	12.2%	13.1%	0.5x	49.8%	14.2%	-	-					
On Holdings*	12,277	11,994	35.2x	19.3x	15.7x	5.0x	4.1x	3.2x	17.4x	12.3x	10.0x	15.5%	22.3%	21.8%	0.3x	66.5%	15.5%	-	-					
Deckers*	14,539	13,007	14.9x	13.6x	12.2x	5.9x	4.8x	4.0x	9.7x	9.1x	8.5x	40.8%	38.0%	37.0%	1.3x	10.4%	21.7%	-	-					
U.S. Sportswear			23.8x	23.0x	17.0x	3.9x	3.4x	2.9x	19.4x	11.5x	9.9x	14.7%	19.4%	20.2%	1.1x	25.2%	12.9%	3.7%	n.a					
McDonald's*	199,389	253,100	22.7x	20.6x	19.0x	-	121.1x	42.5x	16.9x	14.6x	13.8x	-	-383.6%	142.6%	1.9x	11.0%	47.5%	2.6%	2.8%					
Chipotle*	45,396	49,770	31.8x	28.5x	24.2x	18.9x	14.0x	12.4x	22.4x	18.0x	15.8x	49.2%	57.2%	60.4%	2.2x	12.7%	15.1%	-	-					
U.S. Food Services			24.5x	22.3x	18.9x	14.8x	11.9x	10.7x	17.6x	14.4x	13.3x	49.2%	55.2%	n.a	3.8x	2.0x	11.0%	24.9%	3.1%	3.0%				

DETAILS

THE RISE OF THE SAVVY CONSUMER

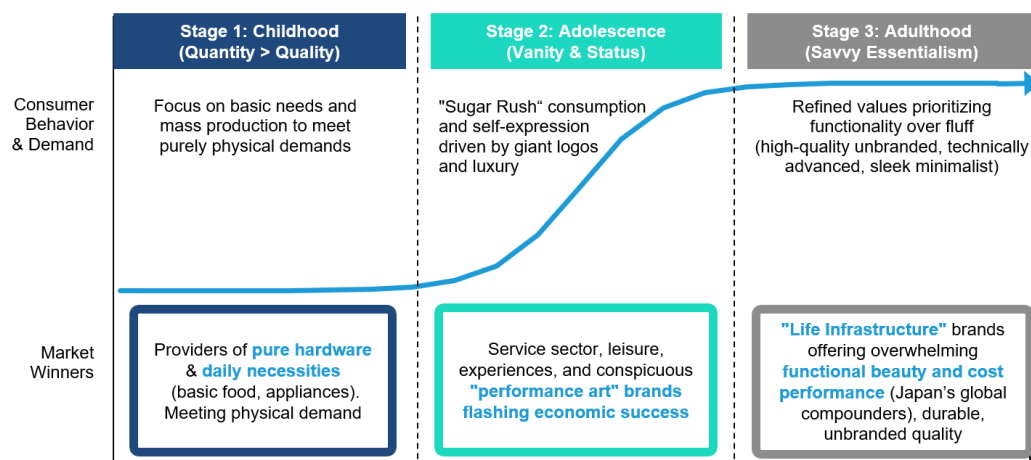
1. THE S-CURVE OF CONSUMER MATURITY

If you have found yourself choosing a high-performance, wrinkle-free shirt over a designer piece simply to avoid the dry cleaner, welcome to the final stage of consumer evolution. This shift in your values is the primary reason why the growth algorithm of Japan's Global Compounds has unequivocally shifted overseas. Investors often mistake this global expansion for a desperate flight from growth limits, but that perspective only explains the supply-side reasons for their recent overseas leaps. Viewed from the demand side, the truth is far more dynamic. The obsessive focus on Essentialism symbolized by these Japanese companies has now been elevated to a universal optimal solution in the global market, with consumers worldwide craving their products. To understand this phenomenon, we must grasp the predictable S-curve trajectory of consumer markets maturing from impressionable youth to confident adults, a framework we call the psychological maturation process of the consumer.

Interestingly, the evolution of consumer markets closely parallels the human growth process, passing through an initial Stage 1 Childhood and a subsequent Stage 2 Adolescence before ultimately arriving at Stage 3 - refined values (Exhibit 2). In the dawn of economic development during Stage 1, the consumer mindset is still primitive, dictated by simple urges like needing clothes, needing home appliances, and wanting to eat until full, rendering functional details and brand hierarchies meaningless luxuries. Quantity rules over quality, and mass production capacity fulfilling pure physical demand holds absolute value. Subsequently, as the economy overheats and the middle class explodes, the market enters a rebellious and awkward Stage 2 Adolescence. As seen in the Wall Street frenzy of the 1980s or Japan in the 1990s or China in the 2010s, consumption transforms into performance art to flaunt economic success, characterized by demands for clothing bearing logos larger than the wearer's face. This is a Sugar Rush of unsustainable, feverish consumption, an era that leaves closets overflowing with unworn, flashy garments while leaving behind an emptiness and a painfully nostalgic folly of youth once the frenzy subsides.

Entering the final Stage 3 of low growth and stability, major global markets finally climb the stairs to adulthood, placing the reins in the hands of savvy consumers who see straight through marketing fluff. The party is over, and consumers, waking from the hangover of excessive consumption, now demand permanent durability over unnecessary decoration, craving unbranded, high-quality shirts that fit like a second skin. Simultaneously, because consumers refuse to downgrade to the cheapest, shoddy goods due to the irreversible process of having once experienced premium products, a smart Essentialism that balances exceptional functional beauty with affordable pricing replaces conspicuous logos and vanity as the new status symbol. With Western consumers already at this stage and Chinese consumers rapidly transitioning into it, the Japanese brand philosophy that prioritizes substance over symbolism is no longer just one option, but the sole rational conclusion for conquering the world.

EXHIBIT 2: **S-curve trajectory of consumer markets maturing from impressionable youth to confident adults**

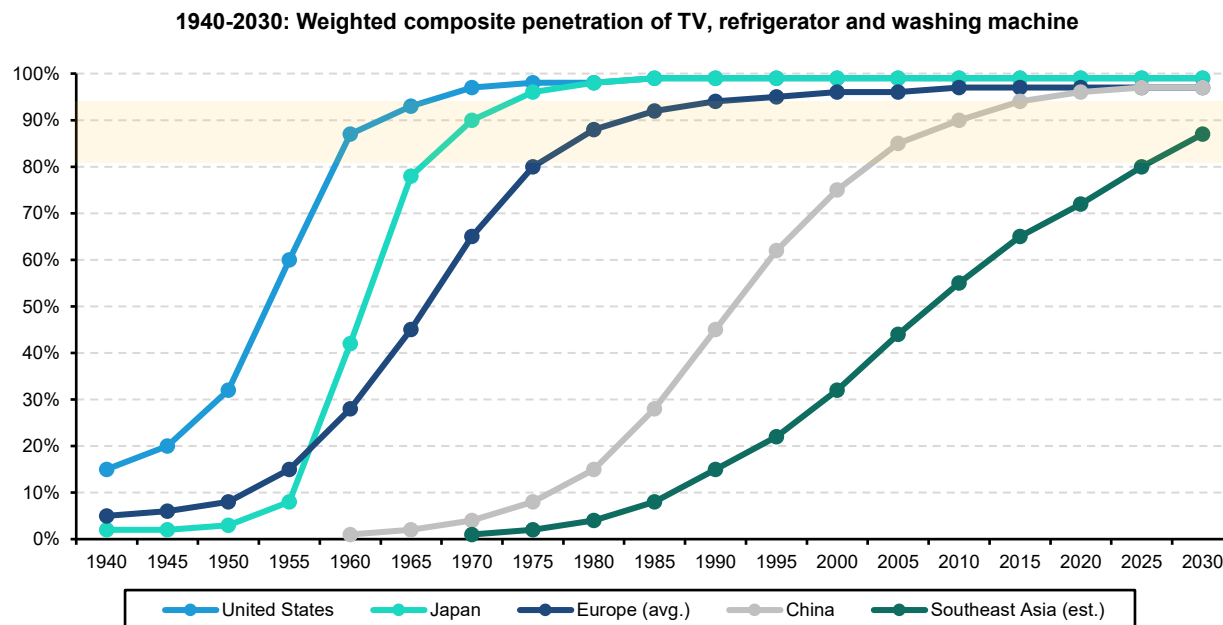


Source: Bernstein analysis.

When the Shopping List Runs Out: The Stage 1→2 Transition

The S-curve of consumer maturity is not merely a concept — it is observable in the data. A composite index of household penetration rates for televisions, refrigerators, and washing machines maps with remarkable precision when each region graduated from Stage 1. Once penetration crosses the 80-95% "transition band," the appetite for quantity is largely satisfied, and consumer attention shifts irreversibly from "do I have one?" to "which brand, which quality?" The United States crossed this threshold in the 1950s, Europe and Japan in the 1960s-70s, and China completed its transition by the mid-2010s (Exhibit 3). Southeast Asia stands at the entrance of this band today, with its crossing point expected around 2030. Across every region that has passed through this band, the behavioral patterns of the next stage have followed with striking consistency.

EXHIBIT 3: Developed regions have all followed the same s-curve and Southeast Asia is now at the inflection point that defined Japan's 1960s boom and China's Mid-1990s rise



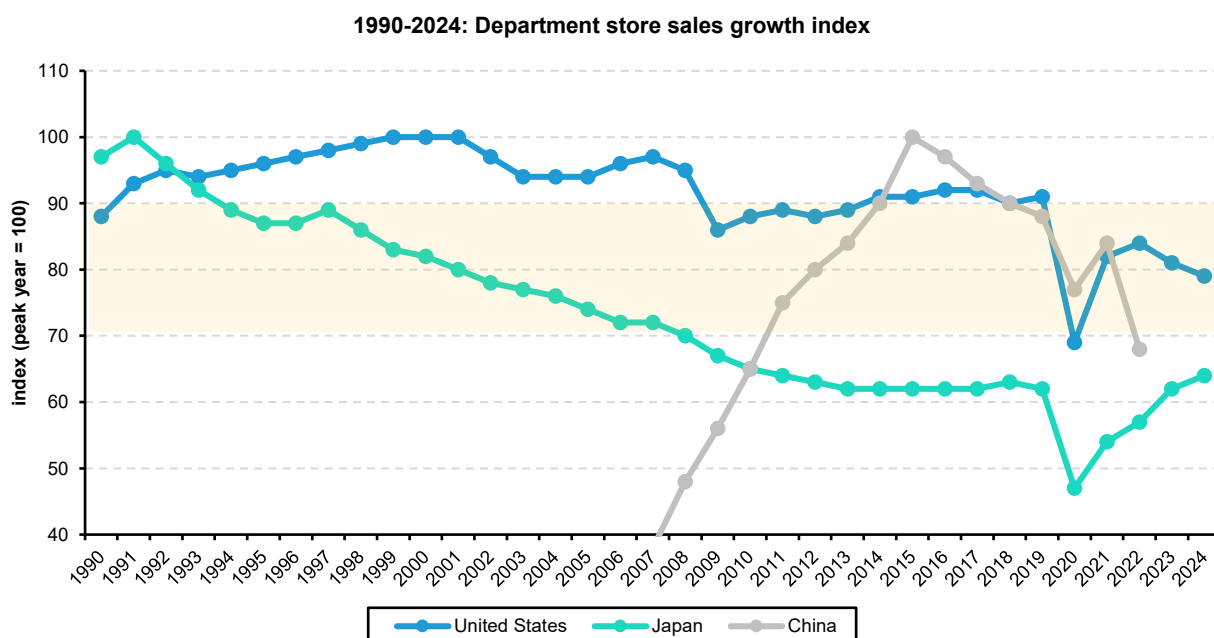
Source: US Census Bureau, Cambridge Business History Review, UK Retrowow, NBS China, Bernstein analysis.

The Department Store as Barometer: Reading the Stage 2→3 Transition

There is no single definitive measure of when Stage 2 ends. Growth rates in the luxury market, inflection points in consumer confidence indices, and peak sales of premium automobiles all offer legitimate lenses. **We focus on department store sales not because they tell the whole story, but because they distill the rise and fall of Stage 2 consumption into a single, legible signal.** Department stores — the cathedrals of brand and status — tend to register the earliest tremors when consumers begin to turn away from conspicuous consumption.

In Japan, sales peaked around 1991 and have been in structural decline ever since (Exhibit 4). In the United States, the peak came in the mid-2000s, followed by a gradual but unmistakable contraction. In China, sales crested around 2015 and have since moved rapidly toward the transition band of minus 10–30% from peak. The fact that consumer confidence index (CCI) inflection points broadly coincide with these peaks suggests the indicator is capturing structural change rather than cyclical noise. Department store decline alone cannot be taken as definitive proof of a Stage transition — e-commerce disruption and shifting urban dynamics are confounding factors. But the pattern's consistency across three regions, separated by decades, is too coherent to dismiss as coincidence.

EXHIBIT 4: The peak-out of department store sales serves as a leading indicator of the transition to Stage 3. Japan, the United States, and China follow the same trajectory, albeit with a time lag

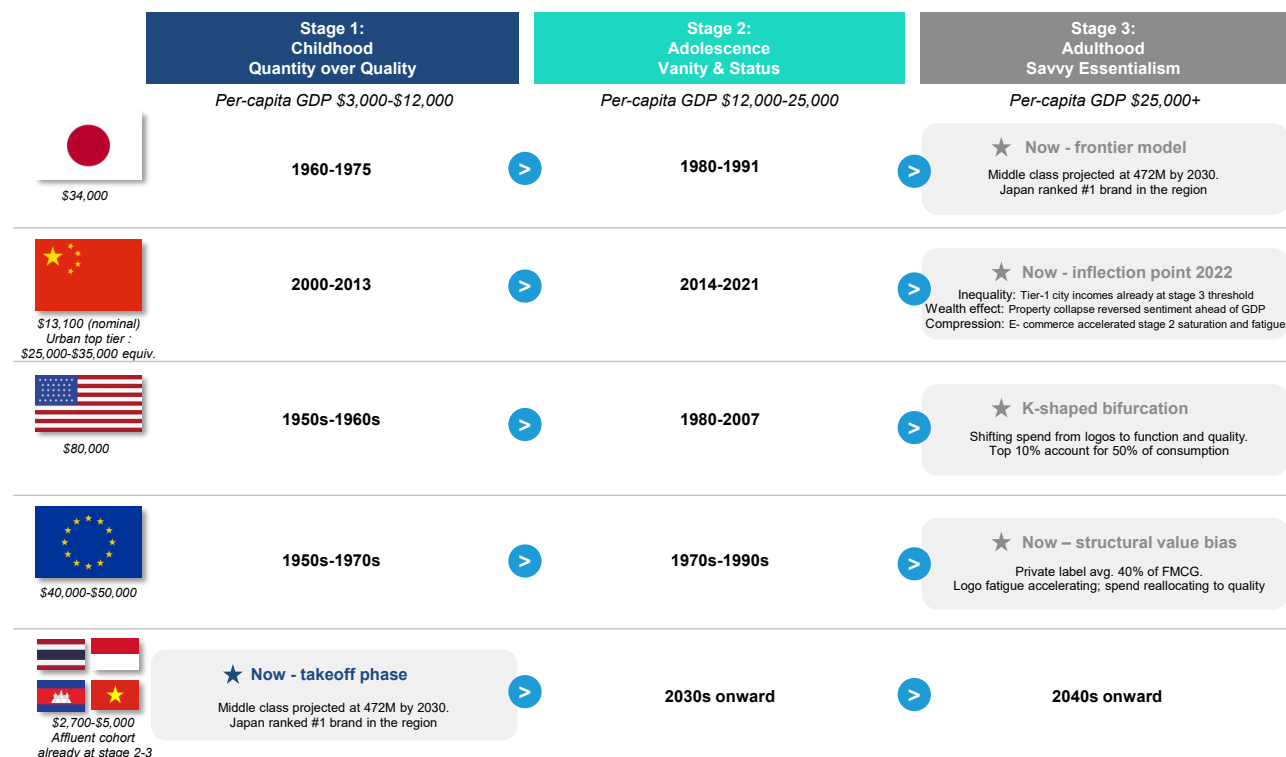


Each region's peak year = 100. Stage 2→3 transition band (index 70–90) = the phase in which department store sales have declined 10–30% from peak
 Source: Japan Department Stores Association, US Census Bureau, CEIC / China Ministry of Commerce, Bernstein Analysis.

The Global Map of Consumer Maturity: Where Does Each Region Stand Today?

Tracing the thread of per-capita GDP, the current position of consumers in each region comes into focus. Japan is the pioneer — a living reference model for Stage 3 that has spent more than three decades refining the philosophy of "this is enough" over "this is the best." China reached its inflection point in 2022 and is now in the midst of a structural transition into Stage 3. The United States and Europe are already deep within it. And Southeast Asia is currently in the early takeoff phase from Stage 1 to Stage 2 (Exhibit 5); with its middle class projected to reach 472 million by 2030, the region is positioned to become the growth engine of this thesis for the next decade. The timelines differ by region. The destination does not. And waiting at that destination is the answer Japan spent thirty years arriving at: Essentialism.

EXHIBIT 5: Every economy passes through the same 3 stages of consumer spending, from quantity to status to savvy essentialism



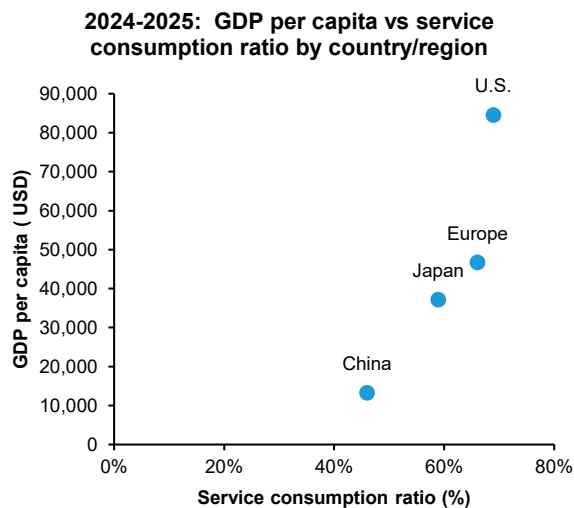
Source: World Bank, IMF, Bernstein analysis.

The Macro Proof: Where the Consumer's Wallet is Migrating

This psychological maturation is not merely theoretical. Global consumption pattern data clearly corroborates it. **As economies grow and GDP per capita rises, the composition of consumer spending systematically shifts from basic goods toward services.** Plotting the world's major economic blocs on a single chart confirms a consistent relationship—the U.S., with the highest per-capita income, allocates over 70% of consumption to services, while China, where income levels are still on an upward trajectory, sits near 45% (Exhibit 6). Japan and Europe fall almost precisely where the curve predicts, suggesting that this tendency is not confined to any particular cultural sphere but rather a structural law accompanying economic development.

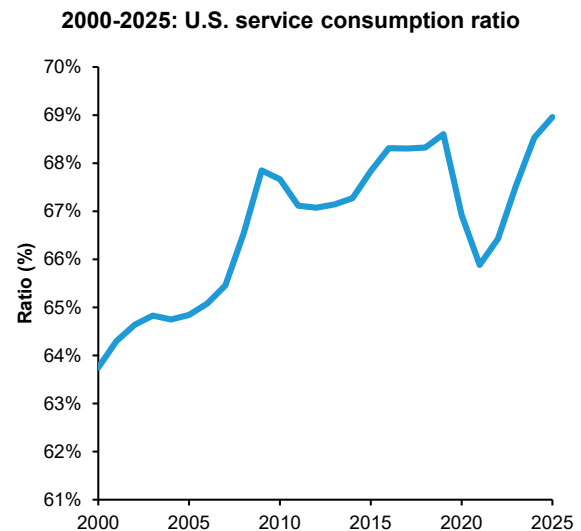
Within a single economy, too, the trend is persistent. In the United States, where services already commanded the majority of consumer spending at the turn of the millennium, the ratio has continued to climb from roughly 63% in 2000 to over 69% by 2025 (Exhibit 7). As household income levels rise, the marginal propensity to consume additional physical goods diminishes, replaced by spending on experiences and lifestyle-related categories. This is consistent with the consumption structure characteristic of Stage 3 Adulthood.

EXHIBIT 6: As GDP per capita rises, service consumption ratio goes up



Source: Bloomberg, World Bank, FRED, NBS, Bernstein analysis.

EXHIBIT 7: Even in the U.S., where services already dominate spending, the share keeps rising



Source: FRED, Bernstein analysis.

The important point here is that the shift in spending toward services does not mean the disappearance of demand for physical goods. **Rather, demand for goods becomes more concentrated and selective.** As consumers direct a larger share of their wallets toward dining, travel, healthcare, and education, each unit of spending on physical products is held to a higher standard of justification. The room for mediocre products to survive in goods narrows. In this environment, consumers do not stop purchasing clothing, cosmetics, or household items, but they rigorously select for products that combine functional superiority with price rationality. Behind the continued share gains of Japan's Category Champions lies this structural selection pressure.

2. THE ECONOMICS OF THE "SMART TRADE DOWN"

Your skin has an excellent memory, and its absolute refusal to return to cheap, scratchy fabrics is the most powerful macroeconomic force in retail today. Global consumption is currently caught in a schizophrenic pincer movement of diametrically opposed macroeconomic headwinds, yet ultimately converging on the exact same survival strategy of the Smart Trade Down where consumers defend quality while compressing price. On one side, the West and Japan are grappling with cost-push inflation driven by de-globalization and rising input costs, while on the other, the massive Chinese market is suffering from a deflationary spiral triggered by the collapse of its real estate bubble. While the causes are polar opposites, the outcome for the consumer psyche is completely identical, resulting in a chilling retrenchment of purchasing intent and an extreme tightening of purse strings. To understand why this convergence is structural rather than cyclical, we must first examine the psychological mechanism that makes the Smart Trade Down irreversible.

The Curse of Cashmere

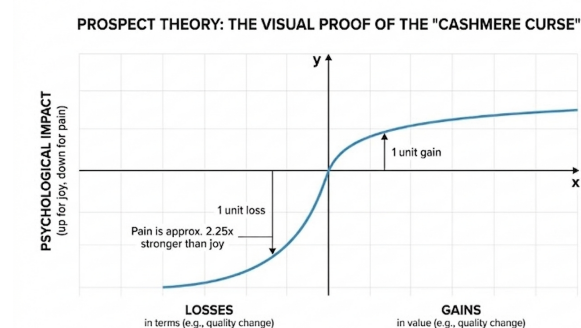
Asset inflation in stocks and real estate has created a wealth effect for the ultra-rich, but the target audience for Japanese global brands is not confined to the privileged VIP section. They target everyone from the asset-rich elite to the budget-conscious masses, and for the overwhelming majority of this broad spectrum, real purchasing power is under fierce siege from both sides of this economic divide.

What is unfolding here, however, is not a story of simple thrift or a return to cheap goods, but the activation of a cruel, irreversible psychological defense mechanism clearly quantified by behavioral economics and macro statistics. I call this phenomenon, in more poetic terms, the Curse of Cashmere. The true nature of this curse lies not on economic charts, but hardwired into the very structure of human skin and the brain. As the loss aversion coefficient in the Nobel Prize-winning Prospect Theory proves through data, humans are programmed to feel the pain of losing something on average 2.25 times more intensely than the joy of gaining an equivalent value (Exhibit 8). Once a consumer experiences the silken touch of genuine cashmere from Uniqlo or the climate-controlled comfort of high-spec functional wear, any forced downgrade in the face of macroeconomic pressure is processed by the brain not as a mere change, but as a severe loss accompanied by agonizing pain

more than double the magnitude of their past joy. The visceral rejection of scratchy, cheap synthetics and the despair of a t-shirt that loses its shape after a single wash constitute a physical pain and a psychological declaration of defeat admitting they have become poorer, tormenting them every morning as they get dressed.

This personal psychological agony is brilliantly validated across the broader market as the Ratchet Effect (Exhibit 9) shown in macroeconomic data, representing the downward stickiness of consumption. As data from past recessions and severe inflation shocks clearly demonstrates, even when real income falls, consumers absolutely refuse to head straight for the junk heap of cheap goods to lower their standard of living. To avoid this 2.25x magnitude of pain, they automatically and sharply reduce their savings rates, cannibalizing past wealth to fiercely defend the quality of consumption they have once attained. Raising one's standard of living is as easy and euphoric as popping a champagne cork, but lowering it is as terrifying as climbing down a sheer cliff face with bare hands and no safety rope, a plunge that data proves consumers will reject with every ounce of their being.

EXHIBIT 8: Loss aversion asymmetry (2.25x) makes every forced downgrade psychologically unbearable—the economic engine of the Smart Trade Down



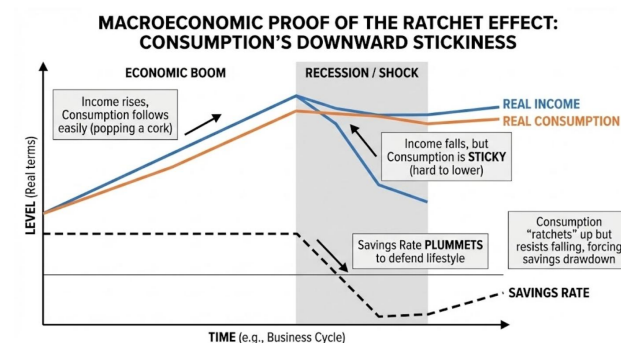
[Prospect Theory: An Analysis of Decision under Risk](https://www.mits.edu/~shima/papers/ProspectTheory.pdf)

Source: MIT, Bernstein analysis.

The Simultaneous Global Squeeze

Consider Japan first—the original laboratory of this phenomenon. For over two decades, nominal cash wage growth has consistently trailed CPI inflation, subjecting consumers to a relentless, chronic erosion of real purchasing power (Exhibit 10). This is not a cyclical blip; it is a structural condition baked into the fabric of the Japanese economy. The Japanese consumer has been training for the Smart Trade Down for thirty years. Every single morning, when they reach for a Uniqlo HEATTECH instead of a department store cashmere blend, they are executing a survival strategy perfected through decades of quiet economic suffocation. The firms that offered superior cost-performance—from food retailers to apparel brands to household goods producers—did not merely survive this environment; they thrived by effectively redefining what quality perception means through affordability and efficiency in product delivery.

EXHIBIT 9: Ratchet Effect – Consumption's Downward Stickiness



<https://cruel.org/econthought/essays/multacc/ratchet.html>

Source: Harvard University Press, Bernstein analysis.

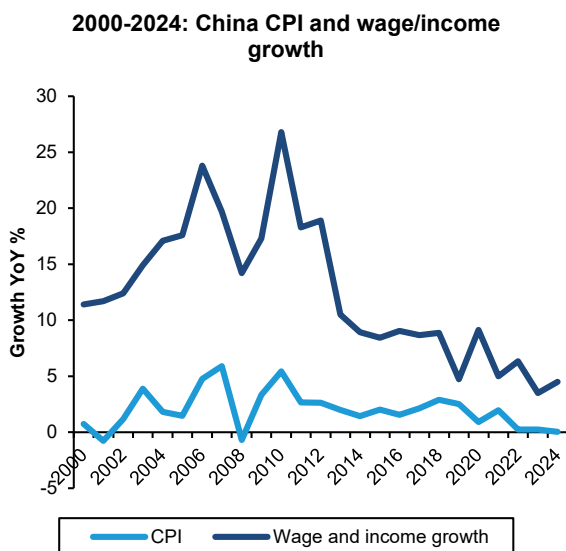
EXHIBIT 10: Where the Smart Trade Down was invented—chronic real wage erosion has shaped Japanese consumer behavior for over two decades



Source: Japan's Ministry of Health, Labor and Welfare, Bloomberg, Bernstein analysis.

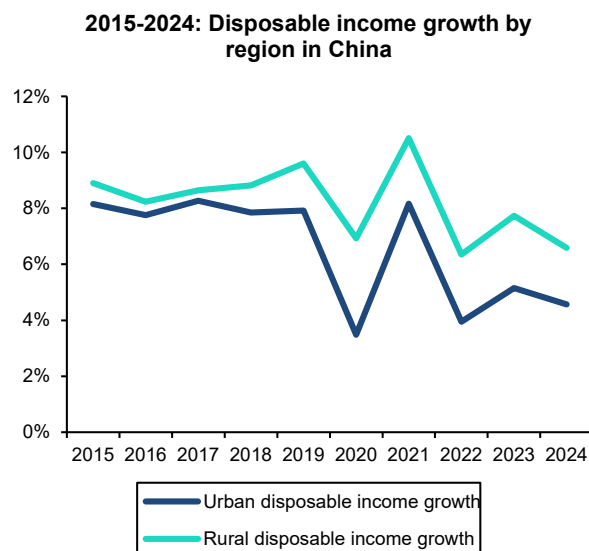
Now turn to China, where the same script is being written in real time, only at a far more violent speed. Before 2019, the story was triumphant: household income growth significantly outpaced CPI, fueling a wave of consumption upgrading as hundreds of millions traded up to premium brands and discretionary indulgences (Exhibit 11). But the post-COVID reality has delivered a devastating plot twist. The gap between income growth and CPI has narrowed to a razor's edge, and rural disposable income growth has overtaken urban income growth—a critical inversion revealing that the very consumers who drove China's premium consumption boom, the sophisticated urban middle class, are now the ones under the most acute financial pressure (Exhibit 12). They have already tasted premium quality. They have already worn the cashmere. The Curse has already been cast.

EXHIBIT 11: China's post-COVID plot twist: the income-inflation gap that fueled the premium boom has compressed to a razor's edge



Wage/income growth for 2000-2014 uses the BBG CNEWTOTW Index; 2014-2024 data uses the BBG CHINNTY Index (disposable income growth).
Source: NBS, Bloomberg, Bernstein analysis.

EXHIBIT 12: Who is hurting now—the urban middle class that tasted cashmere is now under the most acute pressure



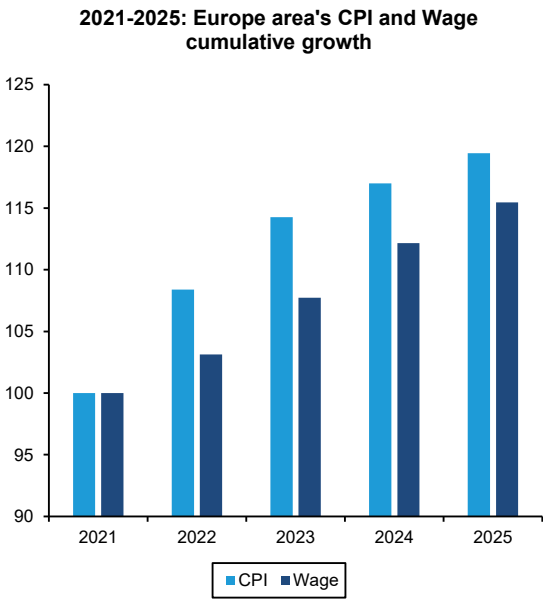
Source: NBS, Bloomberg, Bernstein analysis.

The West tells the identical story through a different lens. In both Europe and the United States, a superficially reassuring picture of nominal wage growth outpacing CPI in recent years disintegrates upon closer inspection. The critical evidence lies in cumulative analysis: from 2021 to 2025, cumulative CPI growth has exceeded cumulative wage growth in both regions, meaning the post-COVID inflation shock has permanently scarred household purchasing power in real terms (Exhibit 13 and Exhibit 14).

The wound has not healed. Against a backdrop of macroeconomic uncertainty and renewed upward pressures on commodity prices, another bout of elevated inflation cannot be ruled out. We expect consumers in Europe and the U.S. to become increasingly cost-conscious and oriented toward value-for-money options, especially in everyday goods, staples, and basic discretionary spending.

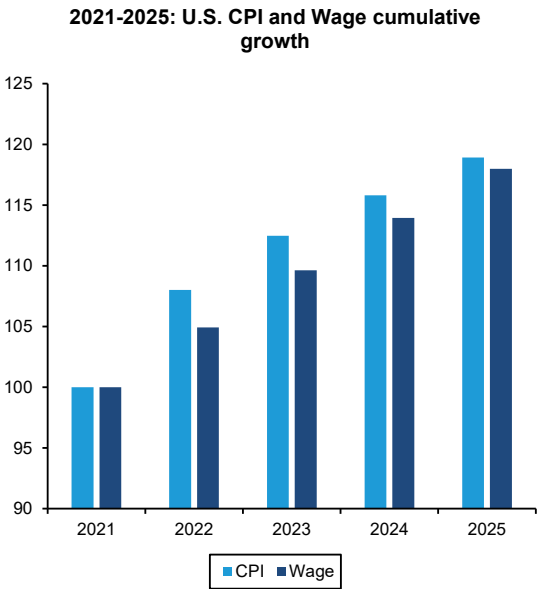
The verdict is unanimous across every major economic bloc: real purchasing power is structurally impaired. This is the gasoline being poured on the fire of the Smart Trade Down — and it is being poured simultaneously across the entire planet. The question is no longer whether consumers will execute the Smart Trade Down. It is which brands will be the beneficiaries — and which will be the casualties.

EXHIBIT 13: **Europe's unhealed wound—cumulative CPI still outruns wages**

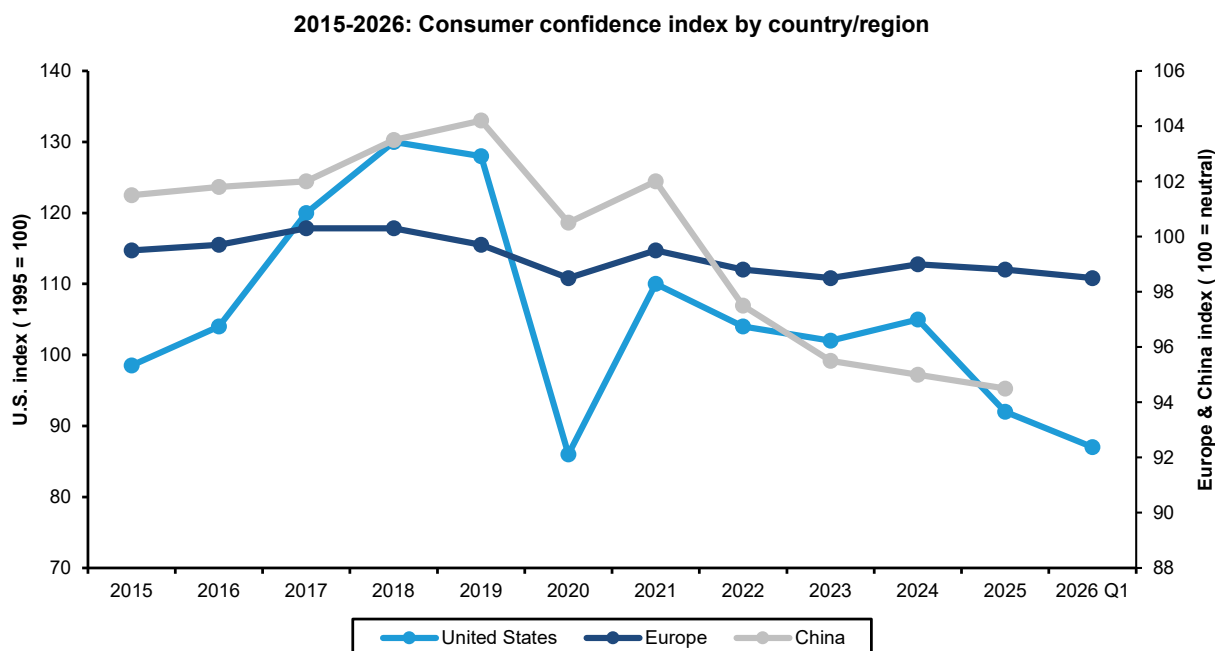


Source: Bloomberg, Eurostat, Bernstein analysis.

EXHIBIT 14: **America tells the same story**



Source: Bloomberg, U.S. Bureau of Labor Statistics, Bernstein analysis.

EXHIBIT 15: **Confidence collapses in unison—the Smart Trade Down is firing simultaneously across three economies**

The US figures are annual averages derived from Conference Board monthly releases; Europe and China are OECD CCI annual averages. For precise monthly figures, the primary sources are the [Conference Board](#) and [OECD Data](#).

Source: Conference Board (US), OECD Consumer confidence index (Europe, China), Bernstein estimates and analysis.

Now in a K-Shaped Economy.....Maturation + Squeeze = Smart Trade Down

What happens to the middle class is Smart Trade Down — a highly intelligent consumer behavior that activates only when "matured consumers" and "squeezed middle class" converge.

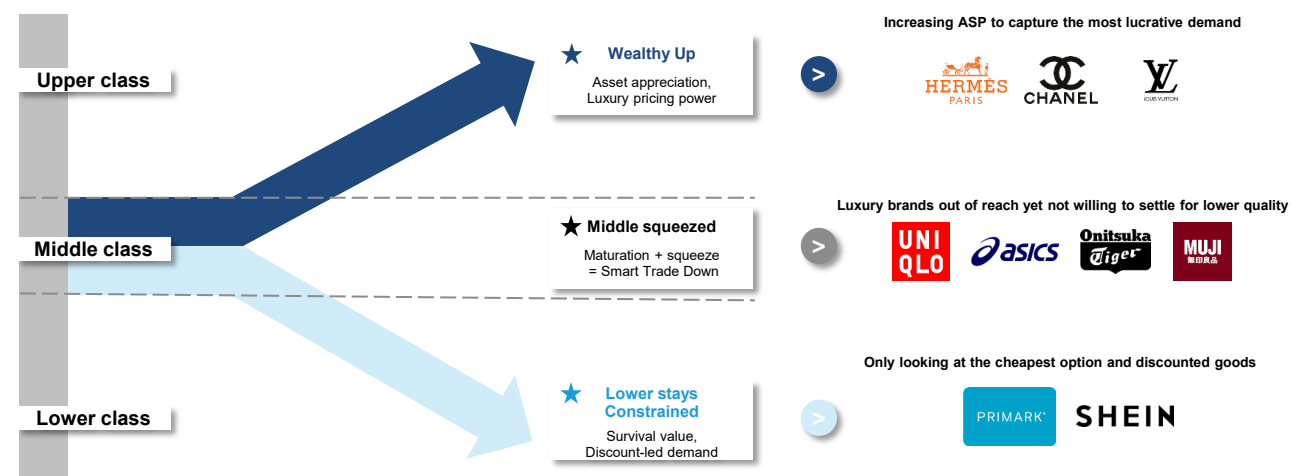
When immature consumers are squeezed, they demote to simple discount consumption. Unsqueezed mature consumers slowly select premium with Stage 3 judgment criteria. But the matured-but-squeezed middle class — they do not surrender. They hack the system.

They shift, with a shopper's eye refined over decades, products that combine specs and price honestly, and reject anything that doesn't. A Uniqlo HEATTECH, a Sushiro plate at \$1, a MUJI organizer, an ASICS functional running shoe — these are the most rational choices for these consumers. The point is not that quality is sacrificed — it is that the quality/price ratio reaches the highest possible level. They have learned that paying for the brand's story does not improve their lives, and that paying for the product's substance does.

Their products defend consumer dignity — without inflicting the pain of deprivation. That is precisely why the structural disappearance of mid-tier brands functions for them not as a headwind but as the greatest ally.

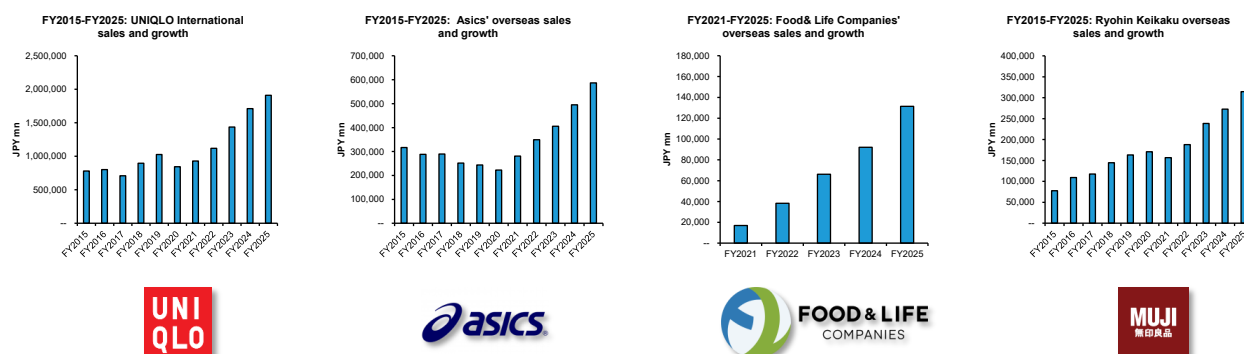
This pattern is structurally different from instantaneous hits. Their revenue growth is built not on marketing investment riding on trends but through the Compounding Staircase — the steady accumulation of loyal customer cohorts and habitual repeat purchases (Exhibit 17). That is why they easily absorb macro shocks and have abnormally high long-term visibility — the core demand-side reason for our preference for Japan Global Compounds.

EXHIBIT 16: In a K-Shaped economy, smart trade down becomes the middle-class response



LVMH and Hermes are covered by Luca Solca
Source: Bernstein analysis.

EXHIBIT 17: Headwind becomes tailwind: all 4 coverage names accelerates overseas growth through the downturn



Food & Life began separately disclosing its overseas business from FY2021
Source: Company reports, Bernstein analysis.

To distinguish margin deterioration from a strategic return of value, we evaluate this pillar using a methodology that benchmarks two core sub-metrics against sector peers

- **Value Conversion Ratio (COGS % / SG&A %):** Measures Lean Efficiency. It proves how much substantive value is returned to the customer for every dollar spent on operating costs, confirming the company spends on the product rather than bureaucracy
- **Operating Profit Margin:** The Truth Test. A high margin confirms that a high value conversion ratio is a deliberate, sustainable strategy rather than financial bleeding from forced discounts

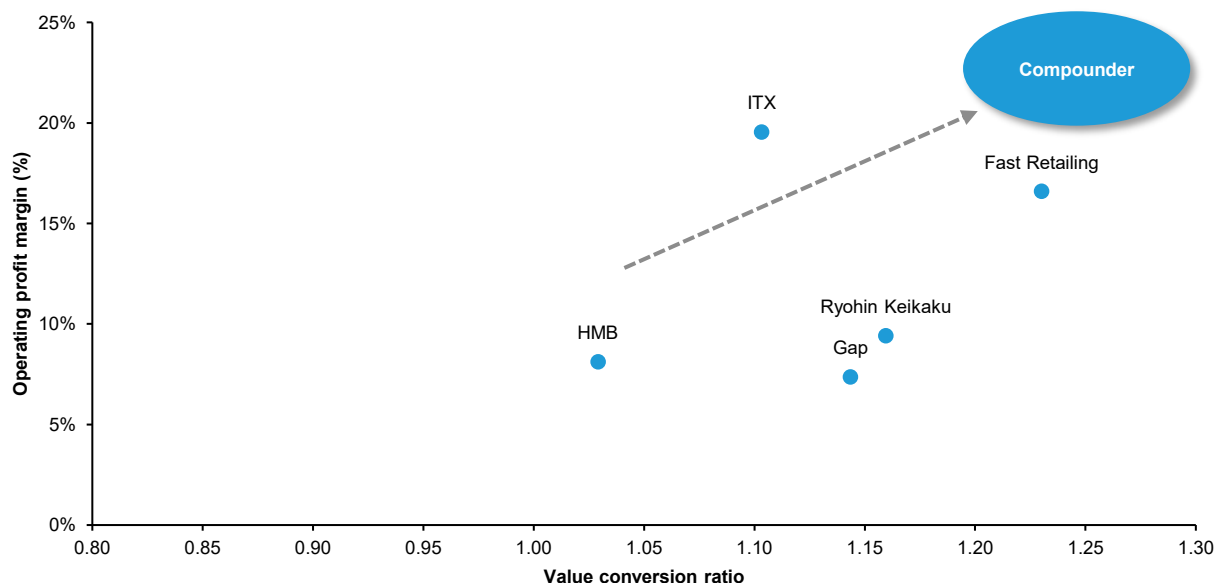
Fast Retailing occupies the highest-VCR position within the Q1 Compounder quadrant (Exhibit 18). Its Value Conversion Ratio (COGS % / SG&A %) of 1.23 is the industry's highest, while OPM is in the mid-teens. Also positioned in the same Q1 Compounder quadrant is Inditex (VCR 1.10, OPM approximately 20%, covered by William Woods) — both are structural winners in the Q1 Compounder quadrant, but their paths to it differ fundamentally. Inditex achieves OPM superiority through the agility of its ultra-fast supply chain; Fast Retailing achieves VCR superiority through the overwhelming proportion of COGS investment flowing directly into the product. Each represents an exceedingly rare positioning in the apparel industry, and we believe the two should be seen as complementary structural winners that merit coexistence in a portfolio.

Similarly for Food & Life. Specifically, while major competitors such as Kura Sushi and Kappa Sushi (major domestic conveyor-belt sushi chains) show VCRs in the 0.6–0.65 range with OPMs stagnating at 2–3%, Food & Life's VCR sits at a prominent 0.85–0.9 level (Exhibit 19). This quantitatively demonstrates that, rather than over-allocating resources to advertising or brand-

image construction, the company channels the majority of its available P&L directly into product quality improvement. Notably, while maintaining this exceptionally high VCR, the company secures a robust OPM above 8% (FY2025 actual: 8.4%). Although a handful of competitors post higher OPMs than the company, their VCRs remain around 0.65, clearly exposing the gap in long-term competitive power driven by direct value return to customers

EXHIBIT 18: **The Compounder in plain sight—Fast Retailing combines the highest VCR and industry-leading margins**

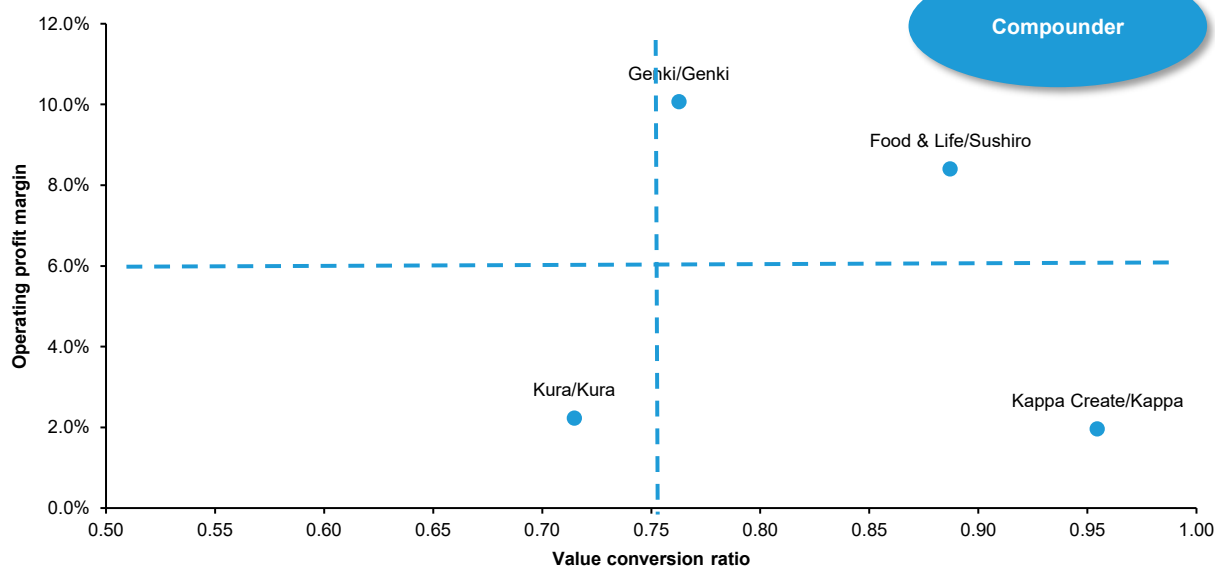
2024-2025: the underlying value matrix of global leading apparel companies



HMB and ITX are covered by William Woods. Gap not covered
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 19: **Sushiro in the Compounder quadrant—the only category player combining high VCR with high OPM**

2024-2025: the underlying value matrix of sushi chains

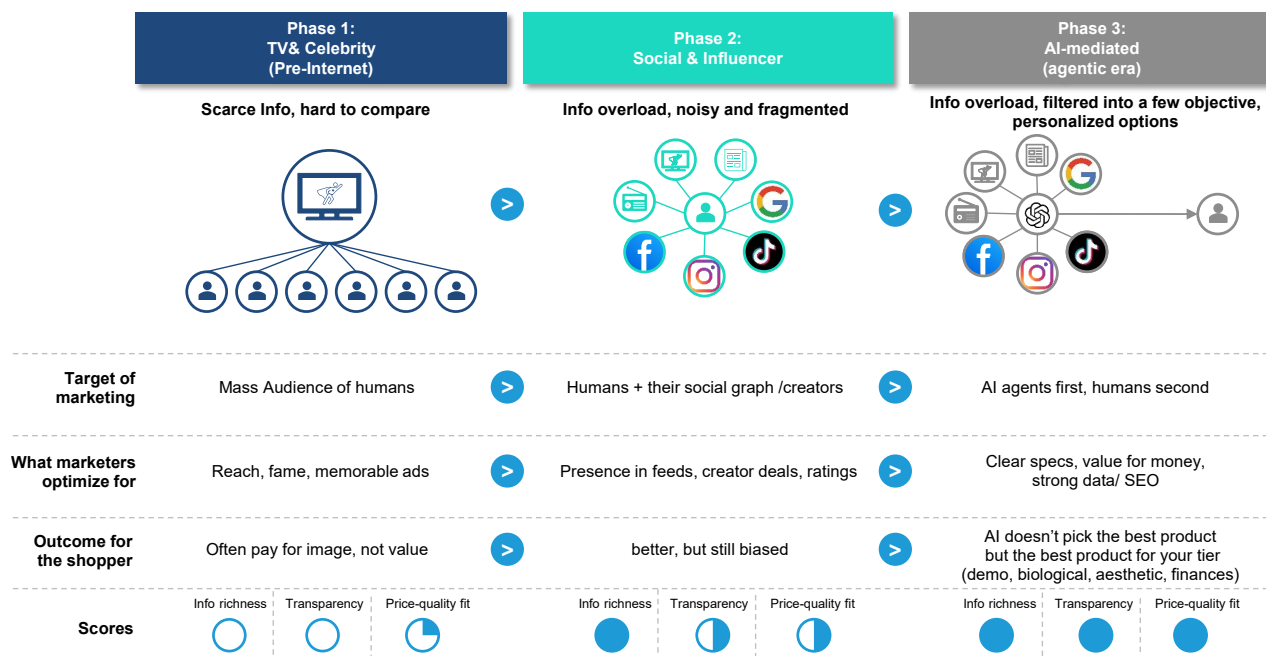


Source: Company reports, Bloomberg, Bernstein analysis

3. THE ERA OF RADICAL TRANSPARENCY: AI AS THE RUTHLESS CENSOR

We invite the reader to briefly imagine a near-future purchasing behavior — one where you simply ask an AI to recommend the most durable shirt that completely avoids the dry cleaner. That seemingly casual query is the gateway to a new era in which traditional retail marketing is quietly dismantled, as AI algorithms function as objective material filters that re-evaluate brand premiums against hard data. This structural shift is best understood as the culmination of three successive eras of consumer choice (Exhibit 20).

EXHIBIT 20: **Three eras of consumer choice: from celebrity stories to AI shortlists that reward brands with genuine quality with clear, machine-readable price-to-quality**



Source: Bernstein analysis.

Phase 1 — the TV & Celebrity era (pre-internet) was a world of scarce information, hard to compare. Marketers optimized for "reach, fame, and memorable ads," and **consumers, lacking means to grasp true manufacturing cost or material specifications, often paid for image, not value.** This information asymmetry structurally underpinned a business model where companies could substitute brand image for product substance.

Phase 2 — the Social & Influencer era reshaped the terrain into information overload, noisy and fragmented. Marketers shifted to "presence in feeds, creator deals, and ratings," and consumers gained access to product reputation through their human social graphs. **Better, but still biased — influencers carried commercial interests, ratings were manipulable, and information overload itself imposed new judgment costs.**

We now stand at the threshold of **Phase 3 — the AI-mediated, agentic era.** Information overload is filtered by AI into a few objective, personalized options. The marketer's optimization target shifts to "clear specs, value for money, strong data and SEO." **AI does not pick the best brand; it picks the best product for the shopper's tier — across demographic, biological, aesthetic, and financial dimensions.**

Translated into share-price logic, this implies a structural de-rating for brands anchored in the Phase 1 model, and a re-rating for brands that satisfy Phase 3. When AI ranks products on objective specifications and honest pricing, the brands that spent the most on advertising will not lead — the products that can prove their substance through data will. **The market is migrating from an era of searching to an era of asking, demanding a single optimal answer.**

Case Study : The Digital Autopsy in Apparel

To demonstrate this phenomenon, we utilized AI to conduct a **Digital Autopsy** objectively comparing the structure and cost of down jackets and denim pants from GAP, representing traditional apparel, and Uniqlo, focusing on functionality. **The AI entirely excluded superficial logo awareness and extracted only physical specifications and financial data** – in other words, this case study reproduces what each brand looks like when viewed from the same vantage point a Phase 3 consumer receives recommendations from.

EXHIBIT 21: **Brand equity, stripped bare: AI could enhance transparency, enabling consumers to better compare product cost structures**

Spec A (Uniqlo) - The Technology	Spec B (GAP) - The Commodity
 Shell: Toray Special Ultra-fine Nylon (No Down Pack) Fill: 90% Down / 10% Feather (640+ FP) Construction: 2-Layer (Shell + Down) Weight: ~200g (Ultra Light)	 Shell: Standard Polyester/Nylon (Requires Down Pack) Fill: 80% Down / 20% Feather (550-600 FP) Construction: 3-4 Layer (Shell + Pack + Down) Weight: 300g-400g (Standard)
AI Analysis: Thermal Physics & Pricing	
Warmth-to-Weight Ratio: Highest (World Class) Est. COGS: ~\$22.00 MSRP: \$69.90 Cost Ratio: ~31.4% (High Value) Real Price: \$59.90	Warmth-to-Weight Ratio: Lower (Standard) Est. COGS: ~\$18.00 MSRP: \$118.00 Cost Ratio: ~15.2% (Standard Markup) Real Price: \$59.00
AI Verdict: Uniqlo offers superior material superiority and honest pricing. GAP relies on discount illusion.	
Spec A (Uniqlo) - Premium Selvedge Denim	Spec B (GAP) - Standard Industrial Denim
 Material: Premium Kaihara Mills (Japan) Selvedge Denim (13.5 oz) Dyeing: Traditional Rope-Dyeing (Deep Indigo) Construction: 2-Layer (Self-Edge) Traditional looming Hardware: Authentic copper-plated rivets and buttons	 Material: Standard Cotton-Blend Denim (12 oz) Dyeing: Industrial Scale Dyeing (Flat Indigo) Construction: 3-Layer (Overlock seam construction) Automated looming Hardware: Standard steel-plated rivets and buttons
AI Analysis: Denim Quality & Pricing	
Material Authenticity Index: Highest (World Class) Est. COGS: ~\$18.00 MSRP: \$59.90 Cost Ratio: ~30.0% (High Value) Real Price: \$54.90	Material Authenticity Index: Standard (Average) Est. COGS: ~\$14.00 MSRP: \$89.95 Cost Ratio: ~15.5% (Standard Markup) Real Price: \$44.95
AI Verdict: Uniqlo offers superior premium denim materials (Kaihara Selvedge) and highly transparent pricing with a minimal markup. GAP utilizes standard-grade industrial denim and relies heavily on a high MSRP and discount cycle for sales conversion.	

Gap not covered
Source: Bernstein analysis (using AI tools).

To clarify, we are not predicting that brand premiums vanish entirely. Irrational emotions, impulsive desires, and the pull of experiences beyond specifications will endure as universal human traits. **The point is that the standard of substance required to justify a brand premium is becoming stricter than ever.** Genuine brands backed by long histories and authentic craftsmanship will survive and maintain pricing power; superficial brands riding on hype will lose their long-term competitiveness.

Under this new search environment, the heavy cost-of-goods investment that Japanese manufacturers have traditionally clung to transforms from commercial awkwardness into a structural competitive advantage. Algorithms are poor at evaluating brand emotion but exceptionally good at reading material blend ratios and durability figures. **The honest, quality-first doctrine once viewed as inefficient is now visualized as a computable, reproducible advantage through the filter of AI.**

The End of Hype

The deeper truth this Digital Autopsy exposes is not that GAP charges too much, nor that Uniqlo charges too little — it is that **hype itself was never a marketing tactic. Hype was a tax that information asymmetry imposed on the consumer, collected by brands for as long as that asymmetry survived.** For three decades, the rent extracted from the gap between what a product cost to make and what consumers could verify it was worth funded entire categories of mediocre brands. As AI dissolves that asymmetry, the rent disappears — and with it, the brands that depended on collecting it. What we call "the end of hype" is therefore not the death of marketing, nor the death of brand premiums for genuine craftsmanship. It is the structural collapse of a specific business model: the one that converted advertising spend into pricing power without a corresponding investment in product substance. **The brands that built moats out of factory floors rather than ad budgets — Fast Retailing, ASICS, MUJI, and Food & Life among them— inherit, almost mechanically, the market share vacated by this collapse.**

In a world that asks AI to "sell me this pen," the winner is no longer the best story—it is the best product.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Fast Retailing Co Ltd**

We value Fast Retailing at 48x our NTM+1 earnings (¥1883) and derive our target price at ¥90,400

Asics Corp

We value Asics Corp at 28x our NTM+1 earnings (¥218) and derive our target price at ¥6,100

Ryohin Keikaku Co Ltd

We value Ryohin Keikaku at 27x our NTM+1 earnings (¥137) and derive our target price at ¥3,700

Food & Life Companies

We value Food & Life at 43x our NTM+1 earnings (¥173) and derive our target price at ¥7,500

RISKS**Fast Retailing Co Ltd****Downside risks:**

- **Renewed revenue decline in China** — should the S&B completion thesis break down and China revert to a decline phase in FY2026-2027, the sentiment impact on global investors could propagate well beyond the 19% geographic exposure.
- **Slowdown in Western growth** — US tariff-policy uncertainty or European macro softness causing SSS and store-expansion pace to undershoot expectations would directly pressure the FY2027-2028 earnings acceleration scenario.
- **FX** — with international now contributing 55% of operating profit, the structural FX sensitivity has risen meaningfully from the pre-globalization era, and a sharp yen reversal would surface as a margin headwind.

Asics Corp**Downside risks:**

- Structural decline in inbound demand driven by prolonged Chinese travel restrictions;
- Erosion of Onitsuka Tiger's luxury premium if the brand succumbs to the "quantity over quality" temptation — should management loosen its discipline in any single dimension (e.g., distribution into mass-market retailers, rushed product line expansion), the sustainability of the 39.4% category margin could unravel instantly, and brand damage is notoriously difficult to reverse;

- A deceleration in the global running market — intensified competition among specialty-focused players such as On and Hoka compressing margins across the performance running category, or TAM growth slowing as the health trend peaks out.

Ryohin Keikaku Co Ltd

Upside risks:

- Japan suburban stores exceed expectations
- China continues to outperform expectations

Downside risks:

- Geographic concentration — East Asia at 71% of overseas sales creates meaningful sensitivity to Chinese macro conditions and Japan-China geopolitical tensions;
- Execution risk during the FY2028 Western scale-up — repeating past oversized-flagship mistakes would undermine the structural recovery;
- Competitive erosion in China from local players could weigh on MUJI's pricing power and margin trajectory.

Food & Life Companies

Downside risks:

- Structural volatility in seafood procurement costs
- Greater China concentration (c.70% of overseas stores) creating binary exposure to geopolitical tensions and regulatory shifts
- Commercial underperformance of the US flagship delaying Risk Cap removal.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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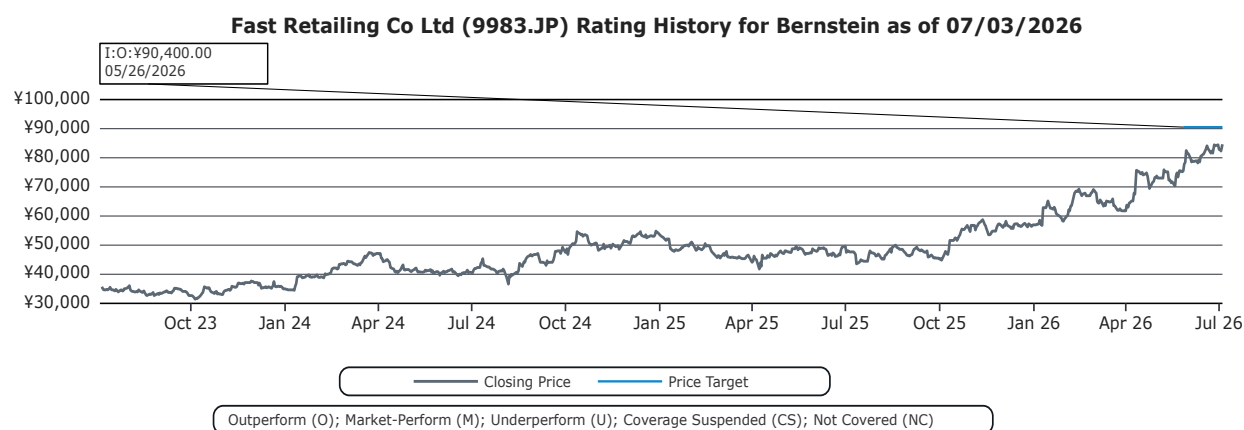
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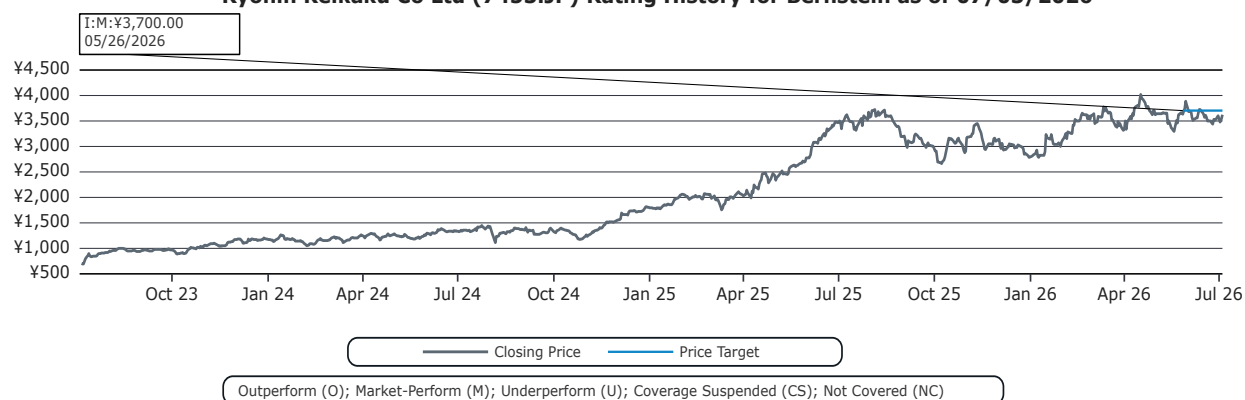
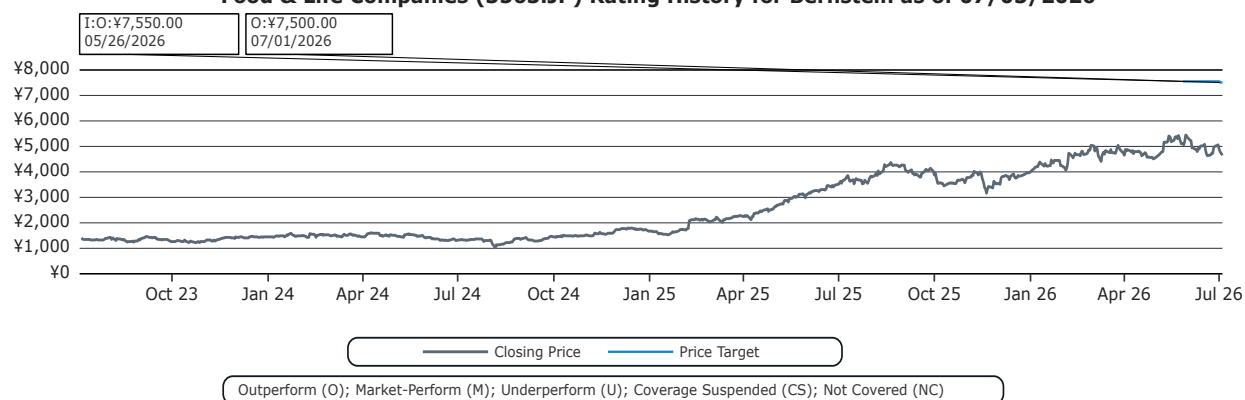
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